

Review after Revisison: Court Resolution and Predictive Justice

Evaluation

I applaud the authors for their revisions. The resubmitted manuscript substantially improves both the clarity of the writing and the overall structure of the paper. The paper is now clearly presented, representing a significant improvement over the previous version. There is much to like about the current version. In particular, I appreciate the revised conceptual framework, the more detailed description of the experimental design, and the clearer presentation of the results.

Despite this considerable progress, I still have a few concerns that should be addressed before publication. Overall, however, I am optimistic that this paper has the potential to make a valuable contribution to the literature.

Major Concern

My main concern relates to what the treatment actually was and, consequently, how the results should be interpreted. Let me outline my understanding of the results.

My interpretation is that participants initially hold relatively low prior beliefs about the compensation the claimant would receive if the case reached court. Once either party receives the treatment information, these beliefs are substantially updated toward a more generous expected court award. This, in turn, has asymmetric effects depending on which party receives the information.

In Treatment T1, where the claimant receives the information, the claimant learns that if no agreement is reached during the three negotiation rounds, the court is likely to award a relatively generous amount. This improves the claimant's outside option, making the claimant more aggressive during the bargaining process and reducing the likelihood of settlement before the case reaches court. See the share of agreement in Figure 2, and the required amount in Table 2.

By contrast, in Treatment T2, where the defendant has the informational advantage, the defendant learns that the court is likely to award more than initially expected, implying a less favorable outside option for the defendant. As a result, the defendant has a stronger incentive to reach an agreement during the negotiation stage while the informational asymmetry persists; increasing the likelihood of an agreement. I believe this interpretation is consistent with all of your findings, including the settlement rate, the agreed alimony amounts, and the observed behavior of both claimants and defendants.

This explanation is relatively straightforward and does not require the alternative (although plausible) interpretation that participants assigned to different roles systematically misinterpreted the treatment information in a motivated way.

Importantly, this interpretation is **not** primarily about information provision reducing the disagreement space. Rather, it is about providing information advantage by correcting inaccurate prior beliefs regarding the compensation that courts are likely to award.

Moreover, I believe that elements of this interpretation are already, at least partly, present in the manuscript. In particular, the discussion on page 6 (lines 162–170) appears to describe precisely this mechanism, though with different trigger. I was therefore surprised that the paper does not engage more directly with its own theoretical framework when formulating the predictions (pages 15 and 16) and when interpreting the results. Furthermore, this interpretation is

consistent with your discussion on page 23 (lines 560–563), where you argue that the treatment shifted beliefs toward higher expected compensation.

I would therefore encourage the authors either to adopt this interpretation and revise the manuscript accordingly—including a more detailed discussion of participants’ beliefs about court-awarded damages, which appear central to understanding the treatment effects— Appendix 7.D contains useful information in this regard. Or, to provide convincing evidence that rules out the interpretation outlined above.

Minor Concerns

I would be cautious about generalizing the results beyond the specific experimental setting, particularly when making strong claims such as that the findings reveal a fundamental trade-off at the heart of predictive justice policy. In my view, the evidence presented does not yet justify such broad conclusions.

The predictions on pages 15–16 could be stated more precisely. Do they refer only to Treatment T3, or do they also apply to the asymmetric treatment conditions? Why do they not engage with the mechanism described on page 6 (lines 162–170)?

The argument that uninformed participants can simply learn from informed participants seems too simplified. Note that this need not hold in equilibrium. An informed participant knows that the uninformed participant may attempt to infer information from their behavior, making the informed participant’s optimal strategy substantially more complex. This strategic interaction deserves a more careful discussion, if kept in the manuscript.

Table 2: Does the table report averages across all negotiation rounds, or only the first round? If it pools all rounds, there is a selection problem because pairs that fail to reach agreement remain in the sample for longer and therefore contribute more observations. This oversamples more contentious negotiations and may cause biased estimates of the average values.

A similar concern applies to the analysis in Section 5.4 (Table 5). It seems that these estimates should be based only on observations from the first negotiation round. I could not determine from the manuscript whether this is indeed the case. Sorry if I missed that.

Result 4 should, in my view, be interpreted as a consequence of this particular treatment, which shifts beliefs upward regarding expected court-awarded compensation, rather than as evidence of a more general mechanism. Similarly, on page 30 (lines 734–736), the manuscript presents the asymmetric effect as a general phenomenon, whereas it may instead arise specifically because the treatment shifts everyone’s beliefs toward a more favorable outside option for the claimant. Imagine that the situation were reversed and participants generally overestimated the compensation that courts would award. Providing accurate information would then produce the opposite asymmetric effect.

Beliefs about court-awarded damages are a key variable in the proposed mechanism and deserve a much more detailed discussion. In particular, it is important to clarify when these beliefs were elicited. Were participants asked about their initial beliefs about the expected damages before receiving the treatment information, or after receiving it? Page 47 (lines 1111–1114) suggests that both pre-treatment and post-treatment beliefs may have been collected. If the treatment information was provided between these two elicitation stages, the authors should be able to directly measure how beliefs were updated. This would provide an important piece of evidence

supporting the proposed mechanism and would substantially strengthen the interpretation of the results.